



PAYPAL AI HACKATHON 2026

Promises, *kept.*

Escrow with an AI referee, built on PayPal — for freelance work agreed anywhere on the internet.

THE PROBLEM

The deal was made in a DM.
It's paid on trust.

71%

of US freelancers have struggled to get paid — losing **\$5,968** on average

Freelancers Union, 2015

<1%

of stiffed New York freelancers ever went to court (62% had been stiffed)

Authors Guild / Freelancers Union, 2022

58%

of US independents don't rely primarily on platforms — so no escrow, no referee

MBO Partners, 2025

Clients have the mirror-image fear: pay upfront and hope the work arrives. And PayPal Purchase Protection excludes *"Significantly Not as Described claims for wholly or partly custom-made items."*

TODAY'S OPTIONS

Expensive, slow, or blind.

OPTION	WHAT IT COSTS	OFF-PLATFORM DEALS?	WHO JUDGES THE WORK?
Upwork	~20% blended take; \$337.50/side arbitration	Mostly no	Humans, days
Fiverr	20% seller + 5.5% buyer	No	Support tickets
Escrow.com	\$50 minimum (~10% of a \$500 milestone with card)	Yes	Nobody checks the work
"Just trust them"	Free — until it isn't	Yes	Nobody
Kept	Freelancer keeps 100% · client pays 2.9% + PayPal at cost	Built for it	AI referee in ~1 minute, with evidence; humans on appeal

THE INSIGHT

Escrow was never the hard part. *The judge was.*

A neutral judge that reads the agreement, looks at the work and decides — cheaply, quickly, with receipts. In 2026 an LLM can be that judge, if you give it a contract written to be checked, evidence computed by code, and a payment rail that can pay, refund or split.

HOW IT WORKS

From DM to paid, in five steps.

1

Compile

Paste the chat → milestones and machine-checkable criteria. Vague terms rewritten, scam signals flagged.

3

Deliver & judge

Evidence engine measures files, links and repos; the AI referee rules per criterion with citations.

5

No ghosting

Client silent past the window? Passing work auto-releases; failing work goes to mediation.

2

Seal & fund

Both sign. Client funds each milestone with PayPal Checkout; money held in escrow.

4

Settle

Approve → PayPal Payout. Dispute → AI-mediated split as Payout + partial refund. Reject → human.

+

Agents hire too

MCP server: AI agents create pacts, get PayPal approval links for humans, submit work, read verdicts.

THE PRODUCT

2

Final logo suite & brand guide

Final logo in all lockups plus a 6+ page brand guide (colours, type, usage).

Due Oct 22

Funded 7 days ago

\$600.00

In client review

81

/ 100

AI Referee verdict

PARTIAL

3/4 criteria met

The brand guide is thorough — HEX palette, typography and clear-space rules are all specified and single-colour use is shown. However, the SVG and PNG logo files themselves were not attached to this submission.

Pre-computed demo verdict · 11.2s · recommends releasing 85%

✗

1. Logo delivered as SVG and PNG

auto-check

Not met

Machine check failed: Missing formats: svg, png

No SVG or PNG files in the submission (only brand-guide.md)

The required file formats were not delivered through Kept. · confidence 97%

✓

2. Brand guide specifies the colour palette with HEX values

auto-check

Met

Machine check passed: All keywords present

"Ember #C2410C · Roast #3B2A20 · Cream #F6EEDF · Brass #B88A3B"

Four colours with HEX values are specified. · confidence 98%

✓

3. Brand guide covers typography and clear-space rules

auto-check

Met

"## Typography ... ## Clear space"

Both sections exist with concrete rules. · confidence 95%

✓

4. Primary logo works in a single colour

subjective

Met

"works in single-colour Roast on Cream"

Single-colour usage is defined. · confidence 80%

⚠ Before you approve: Everything in the guide checks out. Ask Ade to attach the SVG/PNG files

Every ruling shows its work.

A score computed in code, a result per criterion, the exact evidence quoted, machine checks that override the model — and a red

AI YOU CAN PUT NEXT TO MONEY

Code measures. The model judges. People decide.

Deterministic evidence

Word counts, live links, page contents,
repo paths, image sizes, PDF/DOCX text
— computed by code and authoritative
over the model.

Injection-proof

Untrusted content is fenced; a scanner
reads text hidden from humans.
Manipulated deliverables never auto-
release.

Humans hold the pen

The mediator only proposes. Both
parties must accept a split, or it
escalates to a human arbitrator.

BUILT ON PAYPAL

Every rail does real work.

PAYPAL CAPABILITY	IN KEPT
Orders v2 via the PayPal Server SDK (APIMatic)	Fund each milestone; itemised fees; idempotent create/capture; real PayPal fee read into the ledger
JS SDK v6	PayPal + guest card buttons in the pact room
Payouts	Release escrow to the freelancer; deterministic sender_batch_id = no double pay
Payments v2 refunds	Full refunds and partial refunds for AI-mediated splits
Webhooks + signature verification	Self-healing capture if the browser closes; payout/refund reconciliation
Log in with PayPal	Sign in and link a verified payout account

AGENTIC COMMERCE

Agents can pay for things. *Kept lets them pay for work.*

```
$ claude mcp add --transport http kept https://kept.onrender.com/api/mcp --header "Authorization: Bearer kept_sk_..."
```

- › Hire a designer for 3 Instagram carousels for my yoga studio, \$300, with escrow.
- kept · create_pact → pct_... "Instagram carousel designs" · 4 criteria · 2 auto-checked
- kept · create_funding_order → PayPal approval link for you to approve
- kept · get_verdict → PASS 92/100 · approve_milestone → PayPal Payout sent

BUSINESS MODEL

Freelancers keep 100%.

Unit economics · \$300 milestone

Kept fee (2.9%, paid by client)	\$8.70
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PayPal processing	passed through
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Payout fee	-\$0.25
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AI review (Claude)	≈ -\$0.10
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Contribution	≈ \$8.35 (96%)
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Built-in growth loop

Every pact is an invite to the other side. Freelancers share a public track record and a "Paid safely with Kept" badge.

Compounding moat

A corpus of agreements, deliverables and rulings calibrates the referee; reputation lives on Kept.

Market: 64M US freelancers earned \$1.27T in 2023 (Upwork). Upwork + Fiverr together handled ~\$5B GSV/GMV in 2025 — well under 1% of that.

FROM SANDBOX TO PRODUCTION

PayPal holds the money. Kept holds the judgment.

In production Kept runs on PayPal's multiparty platform with **delayed disbursement**: freelancers onboard via Partner Referrals, orders name the freelancer as payee with `disbursement_mode: DELAYED`, and Kept releases with referenced payouts. PayPal holds funds; Kept never touches them — no money-transmitter licensing, escrow pre-approval as PayPal's AUP requires.

Next

**Discord & Slack bot: /pact
in any chat**

Next

**Multi-currency for cross-
border freelancers**

Next

**Arbitrator marketplace for
escalations**

Next

**Agent-to-agent work with
outcome escrow**

Promises, *kept*.

Try it: click **Try as Maya**, switch to Ade, and pay with the PayPal sandbox.

`github.com/shi1720/paypal-ai`